

Cases on Canons of Construction

McBoyle v. United States

Supreme Court of the United States

283 U.S. 25 (1931)

■ Mr. Justice Holmes delivered the opinion of the Court.

The petitioner was convicted of transporting from Ottawa, Illinois, to Guymon, Oklahoma, an airplane that he knew to have been stolen, and was sentenced to serve three years' imprisonment and to pay a fine of \$2,000. . . . A writ of certiorari was granted by this Court on the question whether the National Motor Vehicle Theft Act applies to aircraft. . . . That Act provides:

“Sec. 2. That when used in this Act: (a) The term ‘motor vehicle’ shall include an automobile, automobile truck, automobile wagon, motor cycle, or any other self-propelled vehicle not designed for running on rails; . . .

Sec. 3. That whoever shall transport or cause to be transported in interstate or foreign commerce a motor vehicle, knowing the same to have been stolen, shall be punished by a fine of not more than \$5,000, or by imprisonment of not more than five years, or both.”

Section 2 defines the motor vehicles of which the transportation in interstate commerce is punished in Section 3. The question is the meaning of the word ‘vehicle’ in the phrase “any other self-propelled vehicle not designed for running on rails.” No doubt etymologically it is possible to use the word to signify a conveyance working on land, water or air, and sometimes legislation extends the use in that direction. . . . But in everyday speech ‘vehicle’ calls up the picture of a thing moving on land. . . . So here, the phrase under discussion calls up the popular picture. For after including automobile truck, automobile wagon and motor cycle, the words “any other self-propelled vehicle not designed for running on rails” still indicate that a vehicle in the popular sense, that is a vehicle running on land, is the theme. It is a vehicle that runs, not something, not commonly called a vehicle, that flies. Airplanes were well known in 1919 when this statute was passed, but it is admitted that they were not mentioned in the reports or in the debates in Congress. It is impossible to read words that so carefully enumerate the different forms of motor vehicles and have no reference of any kind to aircraft, as including airplanes under a term that usage more and more precisely confines to a different class. The counsel for the petitioner have shown that the phraseology of the statute as to motor vehicles follows that of earlier statutes of Connecticut, Delaware, Ohio, Michigan and Missouri, not to mention the late Regulations of Traffic for the District of Columbia, none of which can be supposed to leave the earth.

Although it is not likely that a criminal will carefully consider the text of the law before he murders or steals, it is reasonable that a fair warning should be given to the world in language that the common world will understand, of what the law intends to do if a certain line is passed. To make the warning fair, so far as possible the line should be clear. When a rule of conduct is laid down in words that evoke in the common mind only the picture of vehicles moving on land, the statute should not be extended to aircraft simply because it may seem to us that a similar policy applies, or upon the speculation that if the legislature had thought of it, very likely broader words would have been used. . . .

Gustafson v. Alloyd Company, Inc.
Supreme Court of the United States
513 U.S. 561 (1995)

■ Justice Kennedy delivered the opinion of the Court.

Under § 12(2) of the Securities Act of 1933 buyers have an express cause of action for rescission [that is, the undoing of a contract] against sellers who make material misstatements or omissions “by means of a prospectus.” The question presented is whether this right of rescission extends to a private, secondary transaction, on the theory that recitations in the purchase agreement are part of a “prospectus.”

I

Petitioners Gustafson, McLean, and Butler (collectively Gustafson) were in 1989 the sole shareholders of Alloyd, Inc. . . . In 1989, Gustafson decided to sell Alloyd. . . . Wind Point Partners II, L.P., agreed to buy substantially all of the issued and outstanding stock. . . .

On December 20, 1989, Gustafson and [Wind Point] executed a contract of sale. [Wind Point] agreed to pay Gustafson and his coshareholders \$18,709,000 for the sale of the stock plus a payment of \$2,122,219, which reflected the estimated increase in Alloyd’s net worth from the end of the previous year. . . .

The year-end audit of Alloyd revealed that Alloyd’s actual earnings for 1989 were lower than the estimates relied upon by the parties in negotiating the adjustment amount of \$2,122,219. . . . [T]he newly formed company (now called Alloyd Co., the same as the original company) and Wind Point brought suit in the United States District Court for the Northern District of Illinois, seeking outright rescission of the contract under § 12(2) of the Securities Act of 1933 (1933 Act or Act). Alloyd (the new company) claimed that statements made by Gustafson and his coshareholders regarding the financial data of their company were inaccurate, rendering untrue the representations and warranties contained in the contract. The buyers further alleged that the contract of sale was a “prospectus,” so that any misstatements contained in the agreement gave rise to liability under § 12(2) of the 1933 Act. . . .

II

The rescission claim against Gustafson is based upon § 12(2) of the 1933 Act, 48 Stat. 84, as amended, 15 U.S.C. § 77l(2)[, which provides in relevant part] that any person who

“offers or sells a security . . . by the use of any means or instruments of transportation or communication in interstate commerce or of the mails, by means of a prospectus or oral communication, which includes an untrue statement of a material fact or omits to state a material fact necessary in order to make the statements, in the light of the circumstances under which they were made, not misleading . . . , and who shall not sustain the burden of proof that he did not know, and in the exercise of reasonable care could not have known,

of such untruth or omission, . . . shall be liable to the person purchasing such security from him, who may sue [for rescission of the transaction]. . . .”

As this case reaches us, we must assume that the stock purchase agreement contained material misstatements of fact made by the sellers and that Gustafson would not sustain its burden of proving due care. On these assumptions, Alloyd would have a right to obtain rescission [of the contract pursuant to § 12(2)] if those misstatements were made “by means of a prospectus or oral communication.” . . . The determinative question, then, is whether the contract between Alloyd and Gustafson is a “prospectus” as the term is used in the 1933 Act.

Alloyd argues that “prospectus” is defined in a broad manner, broad enough to encompass the contract between the parties. This argument is echoed by the dissents. . . . Gustafson, by contrast, maintains that prospectus in the 1933 Act means a communication soliciting the [general] public to purchase securities from the [original issuer of the securities]. . . .

Three sections of the 1933 Act are critical in resolving the definitional question on which the case turns: § 2(10), which defines a prospectus; § 10, which sets forth the information that must be contained in a prospectus; and § 12, which imposes liability based on misstatements in a prospectus. In seeking to interpret the term “prospectus,” we adopt the premise that the term should be construed, if possible, to give it a consistent meaning throughout the Act. That principle follows from our duty to construe statutes, not isolated provisions. . . .

A

We begin with § 10. It provides, in relevant part:

“Except to the extent otherwise permitted or required pursuant to this subsection or subsections (c), (d), or (e) of this section—

“(1) a prospectus relating to a security other than a security issued by a foreign government or political subdivision thereof, shall contain the information contained in the registration statement [filed with the SEC prior to an initial public offering] . . . ;

“(2) a prospectus relating to a security issued by a foreign government or political subdivision thereof shall contain the information contained in the registration statement”

Section 10 does not provide that some prospectuses must contain the information contained in the registration statement. Save for the explicit and well-defined exemptions for securities listed under § 3, . . . its mandate is unqualified: “[A] prospectus . . . shall contain the information contained in the registration statement.”

Although § 10 does not define what a prospectus is, it does instruct us what a prospectus cannot be if the Act is to be interpreted as a symmetrical and coherent regulatory scheme, one in which the operative words have a consistent meaning throughout. There is no dispute that the contract in this case was not required to contain the information contained in a registration statement and

that no statutory exemption was required to take the document out of § 10's coverage. It follows that the contract is not a prospectus under § 10. That does not mean that a document ceases to be a prospectus whenever it omits a required piece of information. It does mean that a document is not a prospectus within the meaning of that section if, absent an exemption, it need not comply with § 10's requirements in the first place.

An examination of § 10 reveals that, whatever else "prospectus" may mean, the term is confined to a document that, absent an overriding exemption, must include the "information contained in the registration statement." By and large, only public offerings by an issuer of a security, or by controlling shareholders of an issuer, require the preparation and filing of registration statements. . . . It follows, we conclude, that a prospectus under § 10 is confined to documents related to public offerings by an issuer or its controlling shareholders.

This much (the meaning of prospectus in § 10) seems not to be in dispute. Where the courts are in disagreement is with the implications of this proposition for the entirety of the Act, and for § 12 in particular. . . . We conclude that the term "prospectus" must have the same meaning under §§ 10 and 12. In so holding, we do not, as the dissent by Justice Ginsburg suggests, make the mistake of treating § 10 as a definitional section. . . . Instead, we find in § 10 guidance and instruction for giving the term a consistent meaning throughout the Act.

The 1933 Act, like every Act of Congress, should not be read as a series of unrelated and isolated provisions. Only last Term we adhered to the "normal rule of statutory construction" that "identical words used in different parts of the same act are intended to have the same meaning." *Department of Revenue of Ore. v. ACF Industries, Inc.*, 510 U.S. 332, 342 (1994) (internal quotation marks and citations omitted). . . . That principle applies here. If the contract before us is not a prospectus for purposes of § 10—as all must and do concede—it is not a prospectus for purposes of § 12 either. . . .

. . . [A]ccepting Alloyd's argument that any written offer is a prospectus under § 12 would require us to hold that the word "prospectus" in § 12 refers to a broader set of communications than the same term in § 10. . . . In the name of a plain meaning approach to statutory interpretation, the dissents discover in the Act two different species of prospectuses: formal (also called § 10) prospectuses, subject to both §§ 10 and 12, and informal prospectuses, subject only to § 12 but not to § 10. Nowhere in the statute, however, do the terms "formal prospectus" or "informal prospectus" appear. Instead, the Act uses one term—"prospectus"—throughout. . . . [W]e cannot accept the conclusion that this single operative word means one thing in one section of the Act and something quite different in another. . . .

B

Alloyd's contrary argument rests to a significant extent on § 2(10), or, to be more precise, on one word of that section. Section 2(10) provides that "[t]he term 'prospectus' means any prospectus, notice, circular, advertisement, letter, or communication, written or by radio or television, which offers any security for sale or confirms the sale of any security." Concentrating on the word "communication," Alloyd argues that any written communication that offers a security for sale is a "prospectus." Inserting its definition into § 12(2), Alloyd insists that a material misstatement in

any communication offering a security for sale gives rise to an action for rescission, without proof of fraud by the seller or reliance by the purchaser. In Alloyd's view, § 2(10) gives the term "prospectus" a capacious definition that, although incompatible with § 10, nevertheless governs in § 12.

The flaw in Alloyd's argument, echoed in the dissenting opinions, is its reliance on one word of the definitional section in isolation. To be sure, § 2(10) defines a prospectus as, *inter alia*, a "communication, written or by radio or television, which offers any security for sale or confirms the sale of any security." The word "communication," however, on which Alloyd's entire argument rests, is but one word in a list, a word Alloyd reads altogether out of context.

The relevant phrase in the definitional part of the statute must be read in its entirety, a reading which yields the interpretation that the term "prospectus" refers to a document soliciting the public to acquire securities. We find that definition controlling. Alloyd's argument that the phrase "communication, written or by radio or television," transforms any written communication offering a security for sale into a prospectus cannot consist with at least two rather sensible rules of statutory construction. First, the Court will avoid a reading which renders some words altogether redundant. If "communication" included every written communication, it would render "notice, circular, advertisement, [and] letter" redundant, since each of these are forms of written communication as well. Congress with ease could have drafted § 2(10) to read: "The term 'prospectus' means any communication, written or by radio or television, that offers a security for sale or confirms the sale of a security." Congress did not write the statute that way, however, and we decline to say it included the words "notice, circular, advertisement, [and] letter" for no purpose.

The constructional problem is resolved by the second principle Alloyd overlooks, which is that a word is known by the company it keeps (the doctrine of *noscitur a sociis*). This rule we rely upon to avoid ascribing to one word a meaning so broad that it is inconsistent with its accompanying words, thus giving "unintended breadth to the Acts of Congress." *Jarecki v. G.D. Searle & Co.*, 367 U.S. 303, 307 (1961). The rule guided our earlier interpretation of the word "security" under the 1934 Act. The 1934 Act defines the term "security" to mean, *inter alia*, "any note." We concluded, nevertheless that, in context "the phrase 'any note' should not be interpreted to mean literally 'any note,' but must be understood against the background of what Congress was attempting to accomplish in enacting the Securities Acts." *Reves v. Ernst & Young*, 494 U.S. 56, 63 (1990). These considerations convince us that Alloyd's suggested interpretation is not the correct one.

There is a better reading. From the terms "prospectus, notice, circular, advertisement, [or] letter," it is apparent that the list refers to documents of wide dissemination. In a similar manner, the list includes communications "by radio or television," but not face-to-face or telephonic conversations. Inclusion of the term "communication" in that list suggests that it too refers to a public communication.

When the 1933 Act was drawn and adopted, the term "prospectus" was well understood to refer to a document soliciting the public to acquire securities from the issuer. . . . In this respect, the word "prospectus" is a term of art, which accounts for congressional confidence in employing

what might otherwise be regarded as a partial circularity in the formal, statutory definition. . . . The use of the term “prospectus” to refer to public solicitations explains as well Congress’ decision in § 12(2) to grant buyers a right to rescind without proof of reliance. . . .

The list of terms in § 2(10) prevents a seller of stock from avoiding liability by calling a soliciting document something other than a prospectus, but it does not compel the conclusion that Alloyd urges us to reach and that the dissenting opinions adopt. Instead, the term “written communication” must be read in context to refer to writings that, from a functional standpoint, are similar to the terms “notice, circular, [and] advertisement.” The term includes communications held out to the public at large but that might have been thought to be outside the other words in the definitional section. . . .

■ Justice Thomas, with whom Justice Scalia, Justice Ginsburg, and Justice Breyer join, dissenting.

From the majority’s opinion, one would not realize that § 12(2) of the Securities Act of 1933 (1933 Act or Act) was involved in this case until one had read more than halfway through. In contrast to the majority’s approach of interpreting the statute, I believe the proper method is to begin with the provision actually involved in this case, § 12(2), and then turn to the 1933 Act’s definitional section, § 2(10), before consulting the structure of the Act as a whole. Because the result of this textual analysis shows that § 12(2) applies to secondary or private sales of a security as well as to initial public offerings, I dissent.

I

A

As we have emphasized in our recent decisions, “ ‘[t]he starting point in every case involving construction of a statute is the language itself.’ ” *Landreth Timber Co. v. Landreth*, 471 U.S. 681, 685 (1985) (quoting *Blue Chip Stamps v. Manor Drug Stores*, 421 U.S. 723, 756 (1975) (Powell, J., concurring)). Unfortunately, the majority has decided to interpret the word “prospectus” in § 12(2) by turning to sources outside the four corners of the statute, rather than by adopting the definition provided by Congress.

Section 12(2) creates a cause of action when the seller of a security makes a material omission or misstatement to the buyer by means of a prospectus or oral communication. If the seller acted negligently in making the misstatements, the buyer may sue to rescind the sale. I agree with the majority that the only way to interpret § 12(2) as limited to initial offerings is to read “by means of a prospectus or oral communication” narrowly. I also agree that in the absence of any other statutory command, one could understand “prospectus” as “a term of art which describes the transmittal of information concerning the sale of a security in an initial distribution.” But the canon that “we construe a statutory term in accordance with its ordinary or natural meaning” applies only “[i]n the absence of [a statutory] definition.” *FDIC v. Meyer*, 510 U.S. 471, 476 (1994).

There is no reason to seek the meaning of “prospectus” outside of the 1933 Act, because Congress has supplied just such a definition in § 2(10). That definition is extraordinarily broad:

“When used in this subchapter, unless the context otherwise requires—

. . . .

“(10)The term ‘prospectus’ means any prospectus, notice, circular, advertisement, letter, or communication, written or by radio or television, which offers any security for sale or confirms the sale of any security.” 15 U.S.C. § 77b(10).

For me, the breadth of these terms forecloses the majority’s position that “prospectus” applies only in the context of initial distributions of securities. Indeed, § 2(10)’s inclusion of a prospectus as only one of the many different documents that qualify as a “prospectus” for statutory purposes indicates that Congress intended “prospectus” to be more than a mere “term of art.” Likewise, Congress’ extension of prospectus to include documents that merely confirm the sale of a security underscores Congress’ intent to depart from the term’s ordinary meaning. . . .

The majority seeks to avoid this reading by attempting to create ambiguities in § 2(10). According to the majority, the maxim *noscitur a sociis* (a word is known by the company it keeps) indicates that the circulars, advertisements, letters, or other communications referred to by § 2(10) are limited by the first word in the list: “prospectus.” Thus, we are told that these words define the forms a prospectus may take, but the covered communications still must be “prospectus-like” in the sense that they must relate to an initial public offering. *Noscitur a sociis*, however, does not require us to construe every term in a series narrowly because of the meaning given to just one of the terms. See *Russell Motor Car Co. v. United States*, 261 U.S. 514, 519 (1923).

The majority uses the canon in an effort to create doubt, not to reduce it. The canon applies only in cases of ambiguity, which I do not find in § 2(10). “*Noscitur a sociis* is a well established and useful rule of construction where words are of obscure or doubtful meaning; and then, but only then, its aid may be sought to remove the obscurity or doubt by reference to the associated words.” *Russell*, 261 U.S. at 520. There is obvious breadth in “notice, circular, advertisement, letter, or communication, written or by radio or television.” To read one word in a long list as controlling the meaning of all the other words would defy common sense; doing so would prevent Congress from giving effect to expansive words in a list whenever they are combined with one word with a more restricted meaning. Section 2(10)’s very exhaustiveness suggests that “prospectus” is merely the first item in a long list of covered documents, rather than a brooding omnipresence whose meaning cabins that of all the following words. The majority also argues that a broad definition of prospectus makes much of § 2(10) redundant. But the majority fails to see that “communication, written or by radio or television,” is a catchall. It operates as a safety net that Congress used to sweep up anything it had forgotten to include in its definition. This is a technique Congress employed in several other provisions of the 1933 Act and the Securities Exchange Act of 1934 (1934 Act). See, e.g., 15 U.S.C. § 77b(1) (“term ‘security’ means any note, stock, treasury stock, bond, debenture . . . or, in general, any interest or instrument commonly known as a ‘security’ ”); § 77b(9) (“term ‘write’ or ‘written’ shall include printed,

lithographed, or any means of graphic communication”); § 78c(a)(6) (“term ‘bank’ means (A) a banking institution organized under the laws of the United States, (B) a member bank of the Federal Reserve System, (C) any other banking institution”). In fact, it is the majority’s approach that creates redundancies. The majority cannot account for Congress’ decision to begin its definition of “prospectus” with the term “prospectus,” which is then followed by the rest of § 2(10)’s list. As a result, the majority must conclude that the use of the term is a “partial circularity,” a reading that deprives the word of its meaning.

B

The majority correctly argues that other sections of the 1933 Act employ a narrower understanding of “prospectus” as a document related to an initial public offering. . . . In fact, the majority builds its entire argument on the proposition that it must give “prospectus” the same meaning in both §§ 10 and 12. Since § 10 assumes a narrower definition of prospectus, the majority believes that its definition must control that of § 12. Although the majority denies that it reads § 10 as a definitional section, it admits that § 10 “does instruct us what a prospectus cannot be if the Act is to be interpreted as a symmetrical and coherent regulatory scheme.”

I agree with the majority that [§ 10] cannot embrace fully the broad definition of prospectus supplied by § 2(10) and used by § 12(2). I also recognize the general presumption that a given term bears the same meaning throughout a statute. But this presumption is overcome when Congress indicates otherwise. Here, there are several indications that Congress did not use the word “prospectus” in the same sense throughout the statute. First, § 2(10) defines “prospectus” to include not only a document that “offers any security for sale” (which is consistent with the majority’s reading), but also one that “confirms the sale of any security.” But the majority does not claim that § 10 uses the term “prospectus” to include confirmation slips. It would be radical to say that every confirmation slip must contain all the information that § 10 requires; only the documents accompanying an initial public offering must contain that information. Despite the majority’s protestations, it is absolutely clear that the 1933 Act uses “prospectus” in two different ways. As a result, any justification for the majority’s twisted reading of § 2(10) disappears.

Second, this understanding is reinforced by § 2’s preface that its definitions apply “unless the context otherwise requires.” This phrase indicates that Congress intended simply to provide a “default” meaning for “prospectus.” Further, nothing in § 12(2) indicates that the “context otherwise requires” the use of a definition of “prospectus” other than the one provided by § 2(10). If anything, it is § 10’s “context” that seems to require the use of a definition that is different from that of § 2(10).

Third, the dual use of “prospectus” in § 2(10), which both defines “prospectus” broadly and uses it as a term of art, makes clear that the statute is using the word in at least two different senses, and paves the way for such variations in the ensuing provisions. To adopt the majority’s argument would force us to eliminate § 2(10) in favor of some narrower, common law definition of “prospectus.” Our mandate to interpret statutes does not allow us to recast Congress’ handiwork so completely.

The majority transforms § 10 into the tail that wags the 1933 Act dog. An analogy will illustrate the point. Suppose that the Act regulates cars, and that § 2(10) of the Act defines a “car” as any car, motorcycle, truck, or trailer. Section 10 of this hypothetical statute then declares that a car shall have seatbelts, and § 5 states that it is unlawful to sell cars without seatbelts. Section 12(2) of this Act then creates a cause of action for misrepresentations that occur during the sale of a car. It is reasonable to conclude that §§ 5 and 10 apply only to what we ordinarily refer to as “cars,” because it would be absurd to require motorcycles and trailers to have seatbelts. But the majority’s reasoning would lead to the further conclusion that § 12(2) does not cover sales of motorcycles, when it is clear that the Act includes such sales. . . .

III

. . . Unfortunately, the majority’s decision . . . turns on its head the commonsense approach to interpreting legal documents. The majority begins by importing a definition of “prospectus” from beyond the four corners of the 1933 Act that fits the precise use of the term in § 10. Initially ignoring the definition of “prospectus” provided at the beginning of the statute by Congress, the majority finally discusses § 2(10) to show that it does not utterly preclude its preferred meaning. Only then does the majority decide to parse the language of the provision at issue. However, when one interprets a contract provision, one usually begins by reading the provision, and then ascertaining the meaning of any important or ambiguous phrases by consulting any definitional clauses in the contract. Only if those inquiries prove unhelpful does a court turn to extrinsic definitions or to structure. I doubt that the majority would read in so narrow and peculiar a fashion most other statutes. . . .

■ Justice Ginsburg, with whom Justice Breyer joins, dissenting.

. . . As Justice Thomas persuasively demonstrates, the statute’s language does not support the Court’s reading. Section 12(2) contains no terms expressly confining the provision to public offerings, and the statutory definition of “prospectus”—“any prospectus, notice, circular, advertisement, letter, or communication, written or by radio or television, which offers any security for sale or confirms the sale of any security,” § 2(10)—is capacious. . . .

I

To construe a legislatively defined term, courts usually start with the defining section. Section 2(10) defines prospectus capaciously as “any prospectus, notice, circular, advertisement, letter, or communication, written or by radio or television, which offers any security for sale or confirms the sale of any security[.]” The items listed in the defining provision, notably “letters” and “communications,” are common in private and secondary sales, as well as in public offerings. The § 2(10) definition thus does not confine the § 12(2) term “prospectus” to public offerings.

The Court bypasses § 2(10). . . . Instead of beginning at the beginning, by first attending to the definition section, the Court starts with § 10, a substantive provision. The Court correctly observes that the term “prospectus” has a circumscribed meaning in that context. A prospectus within the contemplation of § 10 is a formal document, typically a document composing part of a

registration statement; a § 10 prospectus, all agree, appears only in public offerings. The Court then proceeds backward; it reads into the literally and logically prior definition section, § 2(10), the meaning “prospectus” has in § 10.

To justify its backward reading—proceeding from § 10 to § 2(10) and not the other way round—the Court states that it “cannot accept the conclusion that [the operative word ‘prospectus’] means one thing in one section of the Act and something quite different in another.” Our decisions, however, constantly recognize that “a characterization fitting in certain contexts may be unsuitable in others.” *NationsBank of N.C., N.A. v. Variable Annuity Life Ins. Co.*, [513 U.S. 251, 262 (1995)]. . . . See also Cook, “Substance” and “Procedure” in the Conflict of Laws, 42 *Yale L.J.* 333, 337 (1933) (“The tendency to assume that a word which appears in two or more legal rules, and so in connection with more than one purpose, has and should have precisely the same scope in all of them, runs all through legal discussions. It has all the tenacity of original sin and must constantly be guarded against.”). . .

People v. Smith

Supreme Court of Michigan
393 Mich. 432 (1975)

■ T.G. Kavanagh, Chief Justice.

. . . Defendant and three others were charged with carrying a concealed weapon in a motor vehicle [in violation of Michigan state law], M.C.L.A. § 750.227. . . .

Detroit Police Officer Ward testified at the preliminary examination that he and his partner observed a Ford Econoline van, in which defendant Smith was a passenger, make several erratic U-turns. The van was stopped and Officer Ward while approaching the vehicle observed through the right window what he believed to be the stock of a rifle. He opened the door and grabbed an M-1 rifle from underneath the second seat. Defendant Smith was sitting on the third seat with his feet up. A cartridge belt and clips containing ammunition were found in the front seat between co-defendants Gaut and Turner.

Defendants filed motions to quash, defendant Smith contending that an M-1 rifle was not a dangerous weapon within the meaning of the [concealed weapon] statute. . . .

The defendant urges [the following] question[]: . . .

“Is a rifle over 30 inches in length a dangerous weapon within the meaning of MCLA 750.227 if said section is interpreted consistently with the constitution of the State of Michigan and with the intent of the Michigan Legislature?”

. . . The statute provides:

“Sec. 227. Carrying concealed weapons—Any person who shall carry a dagger, dirk, stiletto, or other dangerous weapon except hunting knives adapted and carried as such, concealed on or about his person, or whether concealed or otherwise in any vehicle

operated or occupied by him, except in his dwelling house or place of business or on other land possessed by him; and any person who shall carry a pistol concealed on or about his person, or, whether concealed or otherwise, in any vehicle operated or occupied by him, except in his dwelling house or place of business or on other land possessed by him, without a license to so carry said pistol as provided by law, shall be guilty of a felony, punishable by imprisonment in the state prison for not more than 5 years, or by fine of not more than 2,500 dollars.” (emphasis added) . . .

The trial court concluded that because an M-1 is a military rifle it comes within the classification of a dangerous weapon. The Court of Appeals majority . . . eschewed analysis of the statute because they had “no doubt that the legislature, when they said ‘dangerous weapon’, they in fact meant dangerous weapon. . . .”

This misses the real question.

No one suggests that an M-1 rifle is not a dangerous weapon. The question is whether this statute proscribes the carrying of all dangerous weapons or only those of the types specified.

In construing statutes in an effort to ascertain and give effect to the legislative interest, courts are guided by a rule of construction known as “*eiusdem generis*.”

This is a rule whereby in a statute in which general words follow a designation of particular subjects, the meaning of the general words will ordinarily be presumed to be and construed as restricted by the particular designation and as including only things of the same kind, class, character or nature as those specifically enumerated. . . .

Thus here the phrase “or other dangerous weapon except hunting knives adapted and carried as such” following those specified types of stabbing weapons, under the rule would be limited to stabbing weapons. As to that part of the statute we see no intent to include firearms of any sort in the phrase “other dangerous weapon.”

Nor can we read the word “pistol” in M.C.L.A. § 750.227; M.S.A. § 28.424 as applying to an M-1 rifle. “Pistol” is defined in M.C.L.A. § 28.421; M.S.A. § 28.91 to mean any firearm, loaded or unloaded 30 inches or less in length, or any firearm, loaded or unloaded, which by its construction and appearance conceals it as a firearm.

In sum, M.C.L.A. § 750.227; M.S.A. § 28.424 applies only to those dangerous weapons enumerated therein. M-1 rifles are not so included. In reaching this conclusion it is important to stress, however, that the Legislature did not, through inadvertence or intent, neglect to consider the problems and dangers posed by the carrying about of long barreled firearms. The Legislature made specific provision on point in an earlier section of the same act, which reads as follows:

“Carrying firearm or dangerous weapon with unlawful intent—Any person who, with intent to use the same unlawfully against the person of another, goes armed with a pistol or other firearm or dagger, dirk, razor, stiletto, or knife having a blade over 3 inches in length, or any other dangerous or deadly weapon or instrument, shall be guilty of a felony, punishable by

imprisonment in the state prison for not more than 5 years or by a fine of not more than 2,500 dollars.” (emphasis added) M.C.L.A. § 750.226.

Without any question whatever, an M-1 rifle is a “firearm” within the scope of M.C.L.A. § 750.226. Concluding that M-1s are covered by M.C.L.A. § 750.226 and not by M.C.L.A. § 750.227 not only accords with a strict reading of both statutes involved, it reflects as well an ordered regulatory scheme enacted by the Legislature. The prohibition against carrying long barreled firearms does not reasonably belong in a “concealed” weapons class of crimes.

The greater difficulty in prosecuting crimes proscribed under M.C.L.A. § 750.226 which does require proof of “intent to use the [weapon] unlawfully” in order to support a conviction does not, of course, escape us. It appears, however, that the Legislature was cognizant of the fact that to hold that rifles are included within the proscription of M.C.L.A. § 750.227 would be to subject most weekend hunters, for example, to potential felony prosecution under M.C.L.A. § 750.227 notwithstanding their lack of intent to unlawfully use their hunting rifles.² Whether the crime situation presently requires consideration of more stringent regulation of the carrying of long guns, under different conditions or with different intent from that set out in M.C.L.A. § 750.226, would require legislative resolution and is beyond the proper authority of the judiciary.

In short, what we hold herein, should not be taken in any way, shape or form to legalize the carrying about of M-1 rifles or any other sort of weapon hitherto considered “dangerous” with unlawful intent. In light of the extant statutory scheme, we merely hold that the prosecution erred in charging and trying defendant under the inapposite auspices of M.C.L.A. § 750.227. . . .

Public Citizen v. U.S. Department of Justice

Supreme Court of the United States
491 U.S. 440 (1989)

Justice BRENNAN delivered the opinion of the Court.

* * *Section 3(2) of FACA, as set forth in 5 U.S.C.App. § 3(2), defines “advisory committee” as follows:

“For the purpose of this Act—

“(2) The term ‘advisory committee’ means any committee, board, commission, council, conference, panel, task force, or other similar group, or any subcommittee or other subgroup thereof (hereafter in this paragraph referred to as ‘committee’), which is—

“(A) established by statute or reorganization plan, or

“(B) established or utilized by the President, or

“(C) established or utilized by one or more agencies, in the interest of obtaining advice or recommendations for the President or one or more agencies or officers of the Federal Government, except that such term excludes (i) the Advisory Commission on Intergovernmental Relations, (ii) the Commission on Government Procurement, and (iii) any committee which is composed wholly of full-time officers or employees of the Federal Government.”

Appellants agree that the ABA Committee was not “established” by the President or the Justice Department. Equally plainly, the ABA Committee is a committee that furnishes “advice or recommendations” to the President via the Justice Department. Whether the ABA Committee constitutes an “advisory committee” for purposes of FACA therefore depends upon whether it is “utilized” by the President or the Justice Department as Congress intended that term to be understood. . . .

It is true that the final version of FACA approved by both Houses employed the phrase “established or utilized,” *462 and that this phrase is more capacious than the word “established” or the phrase “established or organized.” But its genesis suggests that it was not intended to go much beyond those narrower formulations. The words “or utilized” were added by the Conference Committee to the definition included in the House bill. See H.R.Conf.Rep. No. 92–1403, p. 2 (1972), U.S.Code Cong. & Admin.News 1972, p. 3508. The Joint Explanatory Statement, however, said simply that the definition contained in the House bill was adopted “with modification.” Id., at 9. The Conference Report offered no indication that the modification was significant, let alone that it would substantially broaden FACA’s application by sweeping within its terms a vast number of private groups, such as the Republican National Committee, not formed at the behest of the Executive or by quasi-public organizations whose opinions the Federal Government sometimes solicits. Indeed, it appears that the House bill’s initial restricted focus on advisory committees established by the Federal Government, in an expanded sense of the word “established,” was retained rather than enlarged by the Conference Committee. In the section dealing with FACA’s range of application, the Conference Report stated: “The Act does not apply to persons or organizations which have contractual relationships with Federal agencies nor to advisory committees not directly established by or for such agencies.” Id., at 10 (emphasis added). The phrase “or utilized” therefore appears to have been added simply to clarify that FACA applies to advisory committees established by the Federal Government in a generous sense of that term, encompassing groups formed indirectly by quasi-public organizations such as the National Academy of Sciences “for” public agencies as well as “by” such agencies themselves. * * *

In sum, a literalistic reading of § 3(2) would bring the Justice Department’s advisory relationship with the ABA Committee within FACA’s terms, particularly given FACA’s objective of opening many advisory relationships to public scrutiny except in certain narrowly defined situations.¹² A *464 **2572 literalistic reading, however, would catch far more groups and consulting arrangements than Congress could conceivably have intended. And the careful review which this interpretive difficulty warrants of earlier efforts to regulate *465 federal advisory committees and the circumstances surrounding FACA’s adoption strongly suggests that FACA’s definition of “advisory committee” was not meant to encompass the ABA Committee’s relationship with the Justice Department. That relationship seems not to have been within the contemplation of Executive Order No. 11007. And FACA’s legislative history does not display an intent to widen the Order’s application to encircle it. Weighing the deliberately inclusive statutory language against other evidence of congressional intent, it seems to us a close question whether FACA should be construed to apply to the ABA Committee, although on the whole we are fairly confident it should not. There is, however, one additional consideration which, in our view, tips the balance decisively against FACA’s application.

“When the validity of an act of the Congress is drawn in question, and even if a serious doubt of constitutionality is raised, it is a cardinal principle that this Court will first ascertain whether a construction of the statute is fairly possible *466 by which the question may be avoided.” *Crowell v. Benson*, 285 U.S. 22, 62, 52 S.Ct. 285, 296, 76 L.Ed. 598 (1932) (footnote collecting citations omitted). It has long been an axiom of statutory interpretation that “where an otherwise acceptable construction of a statute would raise serious constitutional problems, the Court will construe the statute to avoid such problems unless such construction is plainly contrary to the intent of Congress.” This approach, we said recently, “not only reflects the prudential concern that constitutional issues not be needlessly confronted, but also recognizes that Congress, like this Court, is bound by and swears an oath to uphold the Constitution.” Our reluctance to decide constitutional issues is especially great where, as here, they concern the relative powers of coordinate branches of government. See *American Foreign Service Assn. v. Garfinkel*, 490 U.S. 153, 161, 109 S.Ct. 1693, 1697–1698, 104 L.Ed.2d 139 (1989) (per curiam). Hence, we are loath to conclude that Congress intended to press ahead into dangerous constitutional thickets in the absence of firm evidence that it courted those perils.

That construing FACA to apply to the Justice Department's consultations with the ABA Committee would present formidable constitutional difficulties is undeniable. The District Court declared FACA unconstitutional insofar as it applied to those consultations, because it concluded that FACA, so applied, infringed unduly on the President's Article II power to nominate federal judges and violated the doctrine of separation of powers.¹³ Whether or not the court's conclusion was correct, there is no gainsaying the seriousness of these constitutional challenges.

To be sure, “[w]e cannot press statutory construction ‘to the point of disingenuous evasion’ even to avoid a constitutional question.” *United States v. Locke*, 471 U.S. 84, 96, 105 S.Ct. 1785, 1793, 85 L.Ed.2d 64 (1985), quoting *Moore Ice Cream Co. v. Rose*, 289 U.S. 373, 379, 53 S.Ct. 620, 622, 77 L.Ed. 1265 (1933). But unlike in *Locke*, where “nothing in the legislative history remotely suggest[ed] a congressional intent contrary to Congress' chosen words,” 471 U.S., at 96, 105 S.Ct., at 1793, our review of the regulatory scheme prior to FACA's enactment and the likely origin of the phrase “or utilized” in FACA's definition of “advisory committee” reveals that Congress probably did not intend to subject the ABA Committee to FACA's requirements when the ABA Committee offers confidential advice regarding Presidential appointments to the federal bench. Where the competing arguments based on FACA's text and legislative history, though both plausible, tend to show that Congress did not desire FACA to apply to the Justice Department's confidential solicitation of the ABA Committee's views on prospective judicial nominees, sound sense counsels adherence to our rule of caution. Our unwillingness to resolve important constitutional questions unnecessarily thus solidifies our conviction that FACA is inapplicable.

The judgment of the District Court is Affirmed.

[The opinion of Justice Kennedy concurring in the judgment, joined by the Chief Justice and Justice O'Connor is omitted. Justice Scalia did not participate.]